

Kind of Stock Covered by the Privilege. Nearly all option warrants call for common stock of the issuing company. In rare instances they apply to preferred stock (*e.g.*, American Locker Company, Inc.), or to stock of some other concern (*e.g.*, warrants attached to Central States Electric Corporation Preferred called for North American Company stock and warrants attached to Solvay American Investment Corporation preferred stock called for Allied Chemical and Dye Corporation stock). Warrants have no right to receive interest, dividends or payments on account of principal, nor have they the right to cast any vote.

Resemblance to Subscription "Rights." Option warrants bear some resemblance to the "subscription rights" that are issued by corporations to their stockholders in connection with the sale of additional stock. There are two significant differences, however, between warrants and rights. Warrants run for a long period, and the stock-purchase price is almost always set higher than the quotation at the time of their issuance. Moreover, the price is frequently varied in accordance with the terms of the warrant. Subscription rights run for a short time and call for a fixed price, usually under the market at the time of their authorization. Subscription rights are devised, therefore, with the intent of assuring their exercise and the prompt receipt of funds by the company. Option warrants generally have no relation to the financial needs of the company, and they are not expected to be exercised in short order. Stated in a different way (and referring to the usual situation at the time of issuance) a subscription right will be exercised unless the market declines substantially before they expire; option warrants will not be exercised unless the market price advances substantially in the near or distant future.¹ Subscription rights generally run for about sixty days; the original duration of option warrants is rarely, if ever, less than a year, and many of them are perpetual.

Method of Payment. Most option warrants require payment of the subscription price in cash. Those originally attached to bonds or preferred

¹ The Remington-Rand rights, issued in 1936, were a somewhat overingenious combination of the subscription-right and the warrant forms. If the holder exercised part of his subscription right promptly (at an indicated market loss, as it happened), he would then have a further right to buy more stock up to a year later, and so on. In our view elaborate devices of this kind either create unnecessary speculative situations or give the adroit and the wellinformed an undue advantage over the ordinary stockholder.